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Zhejiang Shuanghuan Driveline Co. Ltd. | Asia Pacific

3Q26 Earnings Briefing Takeaways: Robotics Synergies Unlocked

MORGAN STANLEY ASIA LIMITED+

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Key Takeaways

- Shuanghuan is increasing its focus on robotics, with FineMotion's IPO withdrawal supporting tighter R&D and sales integration within the group.
- Management remains optimistic on coaxial gearbox, citing its domestic position and order pipeline, alongside potential opportunities with overseas OEMs and Tier 1s.
- Shuanghuan's Hungary plant generated Rmb300-400mn revenue and ~2% NPM in 9M26. Management expects Rmb400-500mn revenue for full-year 2026.
- Management targets low-teens revenue growth by 2027 but has not provided net profit guidance.

For 3Q26 by segment recap, see here.

Unlocking group-wide synergies in robotics. Following the withdrawal of the Fine Motion IPO in September, management expects tighter integration and greater focus on robotics across the group's R&D, sales, and manufacturing operations. As performance requirements rise (noise, precision, reliability), management is confident in the group's competitiveness, citing decades of gear-making experience and global capacity. Shuanghuan plans to gradually increase its ownership of Fine Motion from 61.29% as of June 2026, which we believe could be value-accretive.

Coaxial gearbox with a strong domestic position and emerging overseas opportunities. Management highlighted a leading domestic market share and a healthy project pipeline. Overseas OEMs and Tier 1s offer incremental opportunities, with engagement expanding from components to integrated modules, which could increase content per vehicle.

Overseas capacity expansion continued. Overseas sales could benefit from improving Europe NEV demand and potentially tighter EU localization requirements. Meanwhile, Shuanghuan acquired two additional land parcels in Vietnam to expand capacity, which we think could help mitigate tariff and regional supply-chain risks.

Zhejiang Shuanghuan Driveline Co. Ltd. (002472.SZ, 002472 CH)

China Industrials | China

Stock Rating	**Overweight**
Industry View	**In-Line**
Price target	Rmb46.00
Up/downside to price target (%)	12
Shr price, close (Oct 26, 2026)	Rmb41.00
52-Week Range	Rmb49.47-32.31
Sh out, dil, curr (mn)	850
Mkt cap, curr (mn)	Rmb34,840.7
EV, curr (mn)	Rmb35,431.0
Avg daily trading value (mn)	Rmb1,018

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (Rmb)**	1.50	1.53	1.88	2.20
Prior EPS (Rmb)**	-	-	-	-
EPS (Rmb)§	1.47	1.66	1.95	2.28
Revenue, net (Rmb mn)	9,112	10,019	11,547	12,470
EBITDA (Rmb mn)	2,379	2,468	2,837	3,157
ModelWare net inc (Rmb mn)	1,262	1,302	1,597	1,867
P/E	31.6	26.8	21.8	18.7
P/BV	4.0	3.0	2.6	2.2
RNOA (%)	12.6	12.4	13.0	13.9
ROE (%)	14.3	13.0	13.7	13.8
EV/EBITDA	17.2	14.3	12.0	10.3
Div yld (%)	1.1	1.0	0.9	0.0
FCF yld ratio (%)**	0.7	(0.5)	2.8	3.8
Leverage (EOP) (%)	2.0	(0.0)	(9.7)	(18.8)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

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Valuation Methodology and Risks

Zhejiang Shuanghuan Driveline Co. Ltd. (002472.SZ)

Base case, sum of the parts.

- Core business: 25x 2026e P/E. We find this, the five-year average one-year forward P/E, appropriate considering the sustained growth across business lines.
- **Humanoid business:** 6x P/S on Rmb1.1bn sales when global humanoid sales reached 1mn units, when we expect global humanoid sales to exceed 1mn units. We view this as justified by a longer application timeline for new reducers but higher growth potential.

Risks to Upside

- Increasing penetration of dual/tri-motor and coaxial gearboxes
- Faster capacity expansion overseas, capturing more overseas OEMs' demand
- Faster-than-expected intelligent actuator growth driven by diversifying downstream
- Faster-than-expected progress of humanoid reducers

Risks to Downside

- Slower-than-expected share gains
- Weaker-than-expected overseas market demand
- Intensifying gear and actuator competition in China

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(as of September 30, 2026)

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	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1599	43%	455	48%	28%	783	44%
Equal-weight/Hold	1563	42%	394	42%	25%	763	43%
Not-Rated/Hold	2	0%	1	0%	50%	1	0%
Underweight/Sell	570	15%	96	10%	17%	227	13%
Total	3,734		946			1774	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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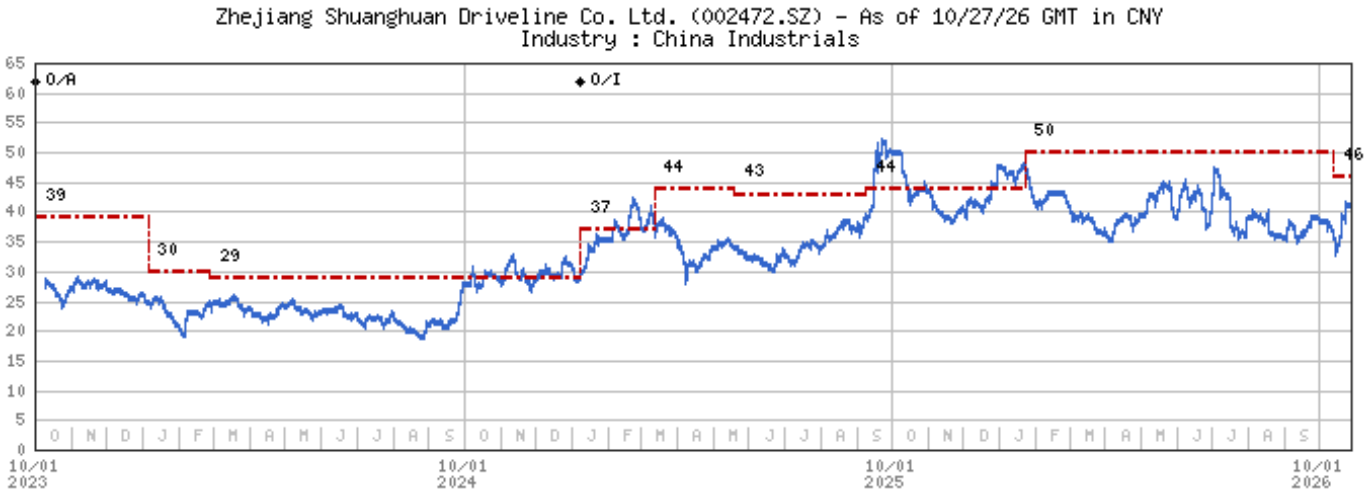
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Stock Rating History: 8/25/23 : O/A; 1/8/25 : O/I

Price Target History: 8/25/23 : 39; 1/5/24 : 30; 2/27/24 : 29; 1/8/25 : 37; 3/12/25 : 44; 5/19/25 : 43; 9/8/25 : 44; 1/22/26 : 50; 10/13/26 : 46

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -·- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) ▬
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
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INDUSTRY COVERAGE: China Industrials

COMPANY (TICKER)	RATING (AS OF)	PRICE* (10/26/2026)
Sheng Zhong		
Beijing Geekplus Technology Co., Ltd. (2590.HK)	O (08/07/2025)	HK$6.52
CRRC Corp Ltd (1766.HK)	U (01/22/2026)	HK$5.25
CRRC Corp Ltd (601766.SS)	U (01/22/2026)	Rmb6.43
DR Laser (300776.SZ)	E (12/17/2021)	Rmb82.57
Estun Automation Co Ltd (002747.SZ)	E (08/25/2026)	Rmb30.59
Haitian International Holdings Limited (1882.HK)	E (09/08/2025)	HK$17.20
Han's Laser (002008.SZ)	O (10/02/2025)	Rmb58.44
Hongfa Technology Co Ltd (600885.SS)	O (05/23/2023)	Rmb29.80
Jiangsu Hengli Hydraulic Co.Ltd (601100.SS)	O (05/23/2023)	Rmb86.60
Jingsheng Mechanical & Electrical Co (300316.SZ)	U (01/08/2025)	Rmb32.52
Leader Harmonious Drive Systems (688017.SS)	O (01/22/2026)	Rmb293.00
Neway Valve (Suzhou) Co., Ltd (603699.SS)	O (09/12/2025)	Rmb35.10
Sany Heavy Industry Co., Ltd. (600031.SS)	O (01/08/2025)	Rmb18.27
Shanghai BOCHU Electronic Technology (688188.SS)	O (08/22/2024)	Rmb102.50
Shenzhen Envicool Technology Co Ltd (002837.SZ)	O (08/19/2024)	Rmb42.97
Shenzhen Inovance Technology (300124.SZ)	++	Rmb55.25
Shenzhen SC New Energy Technology Corp (300724.SZ)	U (09/08/2025)	Rmb51.59
Sinotruk (Hong Kong) Limited (3808.HK)	E (05/19/2025)	HK$32.72
Suzhou Maxwell Technologies Co Ltd (300751.SZ)	U (09/15/2023)	Rmb134.00
Times Electric (3898.HK)	E (01/22/2026)	HK$26.44
WeiChai Power (2338.HK)	O (03/30/2026)	HK$24.50
WeiChai Power (000338.SZ)	O (03/30/2026)	Rmb21.13
Wuxi Autowell Technology Co Ltd (688516.SS)	U (09/08/2025)	Rmb37.98
Wuxi Lead Intelligent (300450.SZ)	O (09/08/2025)	Rmb30.84
Yushu Technology Co., Ltd. (688836.SS)	E (09/30/2026)	Rmb672.00
Zhejiang Dingli Machinery Co Ltd. (603338.SS)	O (11/05/2025)	Rmb51.78

Zhejiang Hangke Technology (688006.SS)	O (09/08/2025)	Rmb18.46
Zhejiang Shuanghuan Driveline Co. Ltd. (002472.SZ)	O (08/25/2023)	Rmb41.00
Zoomlion Heavy Industry (1157.HK)	O (09/08/2025)	HK$5.09
Zoomlion Heavy Industry (000157.SZ)	O (09/08/2025)	Rmb5.97

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* Historical prices are not split adjusted.

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